

Position Sizing – Fixed 2 Lots (No increment with capital)

Initial stop-loss – 1% away from the entry price

Transaction/Slippage Cost – 0.002%

EOD exit – 3.15 PM (IST)

Result

Below is the result table when we run the back testing with three different Wick %.

Range	Wick %	Initial Capital	Ending Capital	Accuracy	Profit Factor	Maximum Drawdown	Losing Trades (continuous)	Total Trades (10 yrs)
1-hour	20 %	350,000	1,007,842	48%	1.12	18%	8	1991
1-hour	10 %	350,000	1,129,386	51%	1.24	20%	8	1362
1-hour	15 %	350,000	1,212,841	50%	1.2	15%	7	1759

Please note that traders use many variations of ORB like 30-min range, 2 hours range, 1-hour range, 4-hour range, etc. Besides, some use trailing SL, and some traders use different % of entry price as initial SL.

Above back tested results are with 1-hour range and 1% initial SL. I have not included the trailing SL and compounding of position size based on the capital increase because I intend to show that even simple systems generate profits in the long run.

System 6 – Stochastic Indicator System

The vast majority of traders don't use the "Stochastic Indicator" effectively. The way we get taught about the "Stochastic Indicator" goes something like this: